

DISCUSSION OF “THE EFFECT OF MINORITY BANK OWNERSHIP ON MINORITY CREDIT”

Agustin Hurtado Jung Sakong

Discussed by Seula Kim

Conference on Diversity, Equity, and Inclusion in Economics, Finance, and Central Banking 2024

March 7, 2024

Summary

THIS PAPER

Q: Does **minority bank ownership** matter for **minority credit access**? If so, **how** and **why**?

Q: Does **minority bank ownership** matter for **minority credit access**? If so, **how** and **why**?

- Constructs a rich set of data linking banks and borrowers
 - 1 Minority banks: FDIC, Federal Reserve, OCC/Treasury, NCUA, and GAO
 - cf) peer banks: Summary of Deposits and call reports
 - 2 Bank employees: Census Bureau, CSBS, TWG, Social media, Zillow, NCUA, and BrightData
 - Use Face Attribute Recognition and Bayesian Improved First and Surname Geocoding to identify race
 - 3 Borrower and mortgage: HDMA (+ McDash)

Q: Does **minority bank ownership** matter for **minority credit access**? If so, **how** and **why**?

- Constructs a rich set of data linking banks and borrowers
 - ① Minority banks: FDIC, Federal Reserve, OCC/Treasury, NCUA, and GAO
 - cf) peer banks: Summary of Deposits and call reports
 - ② Bank employees: Census Bureau, CSBS, TWG, Social media, Zillow, NCUA, and BrightData
 - Use Face Attribute Recognition and Bayesian Improved First and Surname Geocoding to identify race
 - ③ Borrower and mortgage: HDMA (+ McDash)
- ⇒ Linked via bank, officer identifiers
- ⇒ Detailed bank, employee, and borrower info (race, language, financial status, etc.)

Q: Does **minority bank ownership** matter for **minority credit access**? If so, **how** and **why**?

- Constructs a rich set of data linking banks and borrowers
 - ① Minority banks: FDIC, Federal Reserve, OCC/Treasury, NCUA, and GAO
 - cf) peer banks: Summary of Deposits and call reports
 - ② Bank employees: Census Bureau, CSBS, TWG, Social media, Zillow, NCUA, and BrightData
 - Use Face Attribute Recognition and Bayesian Improved First and Surname Geocoding to identify race
 - ③ Borrower and mortgage: HDMA (+ McDash)
 - ⇒ Linked via bank, officer identifiers
 - ⇒ Detailed bank, employee, and borrower info (race, language, financial status, etc.)
- Empirical identification w/ fixed-effects and diff-in-diff designs
 - FE design w/ location, period, demographics, mortgage/bank characteristics ctrlled
 - Use fraud-induced bank collapses (Abacus Federal Savings Bank and Colonial Bank)

MAIN FINDINGS

MAIN FINDINGS

- ① General stylized facts about minority-owned banks
 - Specialized in same-race mortgage lending (70% of mortgages)
 - High fraction of same race employees and borrowers

MAIN FINDINGS

- 1 General stylized facts about minority-owned banks
 - Specialized in same-race mortgage lending (70% of mortgages)
 - High fraction of same race employees and borrowers
- 2 Minority ownership increases credit access to minority borrowers
 - $\simeq 10\text{pp}\uparrow$ approvals
 - Robust to credit risk and loan officer race effects; holds for race types
 - The effect does not hold strongly for same-race loan officers

MAIN FINDINGS

- 1 General stylized facts about minority-owned banks
 - Specialized in same-race mortgage lending (70% of mortgages)
 - High fraction of same race employees and borrowers
- 2 Minority ownership increases credit access to minority borrowers
 - $\simeq 10\text{pp}\uparrow$ approvals
 - Robust to credit risk and loan officer race effects; holds for race types
 - The effect does not hold strongly for same-race loan officers
- 3 The effect of minority bank ownership reflects a credit expansion than reallocation
 - Mortgage approvals decrease for Asian borrowers after the Abacus demise

MAIN FINDINGS

- 1 General stylized facts about minority-owned banks
 - Specialized in same-race mortgage lending (70% of mortgages)
 - High fraction of same race employees and borrowers
- 2 Minority ownership increases credit access to minority borrowers
 - $\simeq 10\text{pp}\uparrow$ approvals
 - Robust to credit risk and loan officer race effects; holds for race types
 - The effect does not hold strongly for same-race loan officers
- 3 The effect of minority bank ownership reflects a credit expansion than reallocation
 - Mortgage approvals decrease for Asian borrowers after the Abacus demise
- 4 The default rate of minority banks' same-race borrowers is lower than other races
 - Robust to credit risk and loan officer race effects; mainly driven by Asian banks
 - Indicative of minority banks' better information about borrowers

Comments

OVERVIEW

Super interesting and well-written paper – enjoyed reading it a lot!

OVERVIEW

Super interesting and well-written paper – enjoyed reading it a lot!

- Thoroughly investigates the extent to which minority bank ownership impacts minority borrowers
- Immense and pioneering efforts in constructing the rich micro-level data
- Meticulous empirical designs to identify the main results
- Important policy implications

OVERVIEW

Super interesting and well-written paper – enjoyed reading it a lot!

- Thoroughly investigates the extent to which minority bank ownership impacts minority borrowers
- Immense and pioneering efforts in constructing the rich micro-level data
- Meticulous empirical designs to identify the main results
- Important policy implications

Three comments:

- 1 The Impact of Minority-owned Banks on the Welfare of Minority Borrowers
- 2 Testing the Information Channel
- 3 Minority Bank Ownership vs. Loan Officers

THE IMPACT ON THE WELFARE OF MINORITY BORROWERS

- Minority bank ownership increases minority credit access and lowers default rate

THE IMPACT ON THE WELFARE OF MINORITY BORROWERS

- Minority bank ownership increases minority credit access and lowers default rate
- How important is it for **(the financial well-being or welfare of) minority borrowers?**

THE IMPACT ON THE WELFARE OF MINORITY BORROWERS

- Minority bank ownership increases minority credit access and lowers default rate
- How important is it for **(the financial well-being or welfare of) minority borrowers?**
 - Does it account for a significant portion of minority borrowers' credit?

THE IMPACT ON THE WELFARE OF MINORITY BORROWERS

- Minority bank ownership increases minority credit access and lowers default rate
- How important is it for **(the financial well-being or welfare of) minority borrowers?**
 - Does it account for a significant portion of minority borrowers' credit?
 - Upon approval, does it reduce credit costs?
 - $InterestRate_{ijkt} = \alpha_k + \alpha_t + \beta MinorityOwnedBank_{jkt} + \gamma X_{ijkt} + \xi_{ijkt}$

THE IMPACT ON THE WELFARE OF MINORITY BORROWERS

- Minority bank ownership increases minority credit access and lowers default rate
- How important is it for **(the financial well-being or welfare of) minority borrowers?**
 - Does it account for a significant portion of minority borrowers' credit?
 - Upon approval, does it reduce credit costs?
 - $InterestRate_{ijkt} = \alpha_k + \alpha_t + \beta MinorityOwnedBank_{jkt} + \gamma X_{ijkt} + \xi_{ijkt}$
 - Does it decrease discrimination against minority borrowers?
 - $Approval_{ijkt} = \alpha_k + \alpha_t + \beta_1 MinorityBorrower_i + \beta_2 MinorityBorrower_i \times MinorityOwnedBank_{jkt} + \gamma X_{ijkt} + \xi_{ijkt}$
 - $InterestRate_{ijkt} = \alpha_k + \alpha_t + \beta_1 MinorityBorrower_i + \beta_2 MinorityBorrower_i \times MinorityOwnedBank_{jkt} + \gamma X_{ijkt} + \xi_{ijkt}$
(using all borrowers i)

THE IMPACT ON THE WELFARE OF MINORITY BORROWERS

- Minority bank ownership increases minority credit access and lowers default rate
- How important is it for **(the financial well-being or welfare of) minority borrowers?**
 - Does it account for a significant portion of minority borrowers' credit?
 - Upon approval, does it reduce credit costs?
 - $InterestRate_{ijkt} = \alpha_k + \alpha_t + \beta MinorityOwnedBank_{jkt} + \gamma X_{ijkt} + \xi_{ijkt}$
 - Does it decrease discrimination against minority borrowers?
 - $Approval_{ijkt} = \alpha_k + \alpha_t + \beta_1 MinorityBorrower_i + \beta_2 MinorityBorrower_i \times MinorityOwnedBank_{jkt} + \gamma X_{ijkt} + \xi_{ijkt}$
 - $InterestRate_{ijkt} = \alpha_k + \alpha_t + \beta_1 MinorityBorrower_i + \beta_2 MinorityBorrower_i \times MinorityOwnedBank_{jkt} + \gamma X_{ijkt} + \xi_{ijkt}$
(using all borrowers i)
- The tight relationship **may magnify or exacerbate economic shocks** for minority borrowers
 - Minority-owned banks were hit hard during the financial crisis (Toussaint-Comeau and Newberger 2017)
 - Minority borrowers could be more susceptible to both aggregate or bank-specific shocks

THE IMPACT ON THE WELFARE OF MINORITY BORROWERS

- Minority bank ownership increases minority credit access and lowers default rate
- How important is it for **(the financial well-being or welfare of) minority borrowers?**
 - Does it account for a significant portion of minority borrowers' credit?
 - Upon approval, does it reduce credit costs?
 $\rightarrow InterestRate_{ijkt} = \alpha_k + \alpha_t + \beta MinorityOwnedBank_{jkt} + \gamma X_{ijkt} + \xi_{ijkt}$
 - Does it decrease discrimination against minority borrowers?
 $\rightarrow Approval_{ijkt} = \alpha_k + \alpha_t + \beta_1 MinorityBorrower_i + \beta_2 MinorityBorrower_i \times MinorityOwnedBank_{jkt} + \gamma X_{ijkt} + \xi_{ijkt}$
 $InterestRate_{ijkt} = \alpha_k + \alpha_t + \beta_1 MinorityBorrower_i + \beta_2 MinorityBorrower_i \times MinorityOwnedBank_{jkt} + \gamma X_{ijkt} + \xi_{ijkt}$
(using all borrowers i)
- The tight relationship **may magnify or exacerbate economic shocks** for minority borrowers
 - Minority-owned banks were hit hard during the financial crisis (Toussaint-Comeau and Newberger 2017)
 - Minority borrowers could be more susceptible to both aggregate or bank-specific shocks

⇒ Help understand the impact of minority-owned bank on the well-being of minority borrowers

DIRECT TESTING THE INFORMATION CHANNEL

- Mechanism through the reduced information asymmetry by minority bank ownership
- Inferred by the reduced default rate assoc. w/ same-race minority borrowers
 - Only evidenced for Asian banks (limited obs. for black or hispanic), specific to 2018-19
 - Alternative hypotheses? (e.g., borrowers' strategic choice for reputation or community capital)

DIRECT TESTING THE INFORMATION CHANNEL

- Mechanism through the reduced information asymmetry by minority bank ownership
- Inferred by the reduced default rate assoc. w/ same-race minority borrowers
 - Only evidenced for Asian banks (limited obs. for black or hispanic), specific to 2018-19
 - Alternative hypotheses? (e.g., borrowers' strategic choice for reputation or community capital)
- Still, direct evidence supporting this mechanism is somewhat lacking

DIRECT TESTING THE INFORMATION CHANNEL

- Mechanism through the reduced information asymmetry by minority bank ownership
- Inferred by the reduced default rate assoc. w/ same-race minority borrowers
 - Only evidenced for Asian banks (limited obs. for black or hispanic), specific to 2018-19
 - Alternative hypotheses? (e.g., borrowers' strategic choice for reputation or community capital)
- Still, direct evidence supporting this mechanism is somewhat lacking
- **Direct estimation** of the degree of information friction (Darmouni 2020)
 - Private vs public information using the renewal or new creation of bank relationship after bank crises

DIRECT TESTING THE INFORMATION CHANNEL

- Mechanism through the reduced information asymmetry by minority bank ownership
- Inferred by the reduced default rate assoc. w/ same-race minority borrowers
 - Only evidenced for Asian banks (limited obs. for black or hispanic), specific to 2018-19
 - Alternative hypotheses? (e.g., borrowers' strategic choice for reputation or community capital)
- Still, direct evidence supporting this mechanism is somewhat lacking
- **Direct estimation** of the degree of information friction (Darmouni 2020)
 - Private vs public information using the renewal or new creation of bank relationship after bank crises
 - Two-stage discrete-choice model: i) Selection of stayers after a bank shock, ii) Estimate the propensity of new relationships on prev lender's crisis exposure w/ the first-stage estimates (common info) ctrl'd

DIRECT TESTING THE INFORMATION CHANNEL

- Mechanism through the reduced information asymmetry by minority bank ownership
- Inferred by the reduced default rate assoc. w/ same-race minority borrowers
 - Only evidenced for Asian banks (limited obs. for black or hispanic), specific to 2018-19
 - Alternative hypotheses? (e.g., borrowers' strategic choice for reputation or community capital)
- Still, direct evidence supporting this mechanism is somewhat lacking
- **Direct estimation** of the degree of information friction (Darmouni 2020)
 - Private vs public information using the renewal or new creation of bank relationship after bank crises
 - Two-stage discrete-choice model: i) Selection of stayers after a bank shock, ii) Estimate the propensity of new relationships on prev lender's crisis exposure w/ the first-stage estimates (common info) ctrl'd
 - ⇒ Can apply it for minority borrowers switching to a "diff-race" bank (from a same-race bank after a shock)
 - ⇒ Quantification of information frictions for minority-owned borrowers

DIRECT TESTING THE INFORMATION CHANNEL

- Mechanism through the reduced information asymmetry by minority bank ownership
- Inferred by the reduced default rate assoc. w/ same-race minority borrowers
 - Only evidenced for Asian banks (limited obs. for black or hispanic), specific to 2018-19
 - Alternative hypotheses? (e.g., borrowers' strategic choice for reputation or community capital)
- Still, direct evidence supporting this mechanism is somewhat lacking
- **Direct estimation** of the degree of information friction (Darmouni 2020)
 - Private vs public information using the renewal or new creation of bank relationship after bank crises
 - Two-stage discrete-choice model: i) Selection of stayers after a bank shock, ii) Estimate the propensity of new relationships on prev lender's crisis exposure w/ the first-stage estimates (common info) ctrl'd
 - ⇒ Can apply it for minority borrowers switching to a "diff-race" bank (from a same-race bank after a shock)
 - ⇒ Quantification of information frictions for minority-owned borrowers
- What are general **sorting patterns** b/w minority-owned bank and borrowers?

MINORITY BANK OWNERSHIP VS. LOAN OFFICER

- One of the interesting contributions lies in the distinct role of minority bank “ownership”
 - Previously, the race of loan officers has been mainly discussed (Frame et al. 2022)

MINORITY BANK OWNERSHIP VS. LOAN OFFICER

- One of the interesting contributions lies in the distinct role of minority bank “ownership”
 - Previously, the race of loan officers has been mainly discussed (Frame et al. 2022)
- Worth delving deeper into **“what shapes the effect of bank ownership”** (↔ individual agents)

MINORITY BANK OWNERSHIP VS. LOAN OFFICER

- One of the interesting contributions lies in the distinct role of minority bank “ownership”
 - Previously, the race of loan officers has been mainly discussed (Frame et al. 2022)
- Worth delving deeper into **“what shapes the effect of bank ownership”** (↔ individual agents)
- A network, learning, and spillovers can be formed within a “team”
 - Minority banks exhibit a higher fraction of same-race employees
& specialize in serving same-race borrowers and mortgages
 - The presence of same-race peers and their focused interests can ↑ learning & information transfer

MINORITY BANK OWNERSHIP VS. LOAN OFFICER

- One of the interesting contributions lies in the distinct role of minority bank “ownership”
 - Previously, the race of loan officers has been mainly discussed (Frame et al. 2022)
- Worth delving deeper into **“what shapes the effect of bank ownership”** (↔ individual agents)
- A network, learning, and spillovers can be formed within a “team”
 - Minority banks exhibit a higher fraction of same-race employees
& specialize in serving same-race borrowers and mortgages
 - The presence of same-race peers and their focused interests can ↑ learning & information transfer
- Agglomeration effects may also play a role, adding further impacts
 - Clusters could arise from community ties, market opportunities, or historical trends

MINORITY BANK OWNERSHIP VS. LOAN OFFICER

- One of the interesting contributions lies in the distinct role of minority bank “ownership”
 - Previously, the race of loan officers has been mainly discussed (Frame et al. 2022)
- Worth delving deeper into **“what shapes the effect of bank ownership”** (↔ individual agents)
- A network, learning, and spillovers can be formed within a “team”
 - Minority banks exhibit a higher fraction of same-race employees
& specialize in serving same-race borrowers and mortgages
 - The presence of same-race peers and their focused interests can ↑ learning & information transfer
- Agglomeration effects may also play a role, adding further impacts
 - Clusters could arise from community ties, market opportunities, or historical trends
- Can such **“organizational” or “spatial” network** enhance **the breadth and quality of information?**

Conclusion

CONCLUSION

This paper:

- Minority bank ownership matters for minority credit access
 - Same-race borrowers face increased credit access and reduced default rates
- Primarily attributed to minority bank owners rather than loan officers
- Potentially through better information set held by same-race owners

CONCLUSION

This paper:

- Minority bank ownership matters for minority credit access
 - Same-race borrowers face increased credit access and reduced default rates
- Primarily attributed to minority bank owners rather than loan officers
- Potentially through better information set held by same-race owners

Review:

- Very interesting paper! – important question, rich data, clean identification, various implications
- Welfare implications for minority borrowers (financial well-being, vulnerability to shocks, etc.)
- Direct evidence or test for the information channel
- Uncovering the role and impacts of bank “ownership”
- Plentiful avenues for future exploration (policy analysis, minority entrepreneurship, inequality...)

Looking forward to the next version 😊

Thank You!

sk6285@princeton.edu